

Rigetti Computing, Inc.
 RGTI NASDAQ

Neutral \$21.36 ▲ 5.51% 12M Price Target \$22.00 52-Week Range \$10.30 – \$58.15 Market Cap \$7.10B

RGTI: Quantinuum IPO Overhang Pressures Shares; Reiterate Neutral

WHAT'S CHANGED

- RGTI bounced +5.5% to \$21.36 after a -9% Tuesday selloff tied to Quantinuum's IPO filing, which is rotating dedicated quantum capital toward the trapped-ion leader and compressing RGTI's scarcity premium.
- Simply Wall St. flagged ~26.5% overvaluation post the \$100M funding deal, while insider cluster selling (Director Johnson 121K shares, CEO Kulkarni 61K shares at \$24.38) signals reduced internal conviction at current levels.

IMPLICATIONS

The Quantinuum IPO is a structural overhang for RGTI: it introduces a larger, better-funded pure-play comp that will likely command the sector's premium multiple and force a re-rating across the quantum cohort (RGTI, IONQ, QUBT, QBTS all -5-7% Tuesday). Today's bounce on heavy 34M-share volume in a +3% Tech tape looks more like dip-buying mechanics than a fundamental reset—particularly given near-dated June call buying concentrated at \$20.5–\$21.0 strikes that suggests tactical, not strategic, positioning. With insiders selling into strength and a \$7.1B market cap on ~\$15-18M of FY26E revenue (~400x EV/Sales), the thesis remains binary on logical-qubit milestone delivery.

VALUATION

At \$21.36, RGTI trades at roughly 395x FY26E revenue and 220x FY27E revenue—multiples that already discount substantial commercial inflection and leave virtually no margin for execution slippage versus IONQ or post-IPO Quantinuum. We use a probability-weighted scenario framework (bull 25% / base 50% / bear 25%) anchored on EV/Sales convergence toward 150-200x by FY27, yielding a \$22 PT (~3% upside). Multiple compression risk dominates near-term as Quantinuum's float arrives and sector capital fragments.

KEY RISKS

- Quantinuum IPO absorbs marginal quantum-dedicated capital flows, pressuring RGTI's multiple structurally
- Insider cluster selling (CEO + Director, ~\$4.1M combined) signals limited upside conviction near current levels
- Cash burn against modest revenue base (\$15-20M) creates recurring dilution risk via ATM or follow-on raises

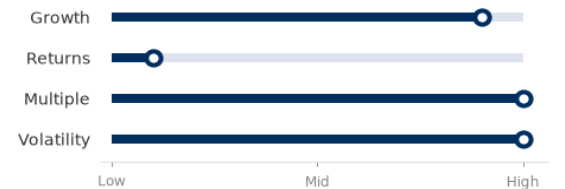
RECENT NEWS

- Prediction: This Quantum Computing Stock Is Going to Plummet in the Second Half of 2026** Motley Fool · 2026-06-18 09:12
- Rigetti Computing (RGTI) Stock Could Be 26.5% Overvalued After \$100 Million Funding Deal** Simply Wall St. · 2026-06-18 08:16

Key Data

Price (USD)	\$21.36
12M Price Target	\$22.00
Upside / (Downside)	+3.0%
Market Cap	\$7.10B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.28)
FY2027E EPS	(\$0.22)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$26.00	\$21.00	\$16.00
6 Months	\$32.00	\$22.00	\$13.00
1 Year	\$40.00	\$24.00	\$11.00
2 Years	\$55.00	\$28.00	\$9.00
5 Years	\$110.00	\$45.00	\$5.00
10 Years	\$250.00	\$80.00	\$2.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+3.04% 1D, +4.49% 5D), Consumer Discretionary

COLD SECTORS: Real Estate, Communication Services (-2.38% 5D)

ROTATION WATCH: Tech leadership continues but is concentrating in AI-infrastructure mega-caps; speculative deep-tech (quantum, fusion) is decoupling from the broader Tech tape as risk capital chases nearer-dated AI monetization.

BYPRODUCT PLAY: Quantinuum's IPO marketing window will refocus institutional attention on quantum as a theme—superconducting-stack suppliers (cryogenics, dilution refrigerators) and hyperscaler quantum-cloud partners (AMZN Braket, IBM, GOOGL) are secondary beneficiaries with lower binary risk.

OUTPERFORMERS & PEER CONTEXT

- IONQ (IonQ): Trapped-ion peer holding multiple better post-selloff on stronger commercial bookings and Quantinuum-comparable architecture narrative
- QBTS (D-Wave): Annealing differentiation has delivered relative strength YTD on commercial revenue traction in optimization workloads

RGTI CONTEXT: RGTI is lagging within the quantum cohort post-Quantinuum news—superconducting architecture is now perceived as the "third horse" behind trapped-ion incumbents, and the ~9% Tuesday drop versus group-wide 5-7% confirms relative weakness. Today's bounce underperformed Tech (+3%) on a beta-adjusted basis.

INVESTMENT STRATEGY

4/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$16-18 on capitulation flushes

Time Horizon: 12-24 months

Thesis Invalidation: Failure to hit 100+ qubit logical roadmap or DARPA QBI program exit

Hedging: Long IONQ / Short RGTI pair, or buy protective \$18 puts